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already relatively inexpensive. The correction has been deeper in small- and mid-caps. Even after the drop, large-caps remain relatively inexpensive and more attractive than their smaller counterparts. In general, smaller companies tend to have higher valuations, though there are notable exceptions.

Among large caps, sectors linked to Indian consumption have been notably expensive. Even after the correction, these stocks remain costly. When compared to their earnings, they don't offer great investment opportunities.

When it comes to start-ups, valuations were largely based on

projections of future market share and earnings. Many of them are still in the "cash burn" phase. Even after the correction, they don't appear to be particularly cheap. However, there are exceptions.



What is your outlook on earnings growth for Nifty in 2025?

Historically, earnings growth tends to be stronger when competitive intensity is lower. Take the telecom sector, for example—when too many players entered the market, pricing pressures mounted. However, after significant consolidation and exits, pricing

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| RAJEEV THAKKAR |



power returned, leading to earnings growth.

Currently, we are seeing heightened competition across sectors, driven either by new entrants or disruptive technological shifts. Sales growth becomes more difficult in such an environment. Additionally, margins tend to shrink due to pricing pressure.



How should a 25-year-old entering the market allocate ₹10 lakh?

For a 25-year-old with a stable income and essential financial protection in place—such as life insurance (if they have dependents) and general insurance—about ₹9 lakh could be allocated to equities for the long term. However, the key is the commitment to stay invested. Many investors tend to react to short-term fluctuations, exiting too soon or frequently switching between investments. That's where mistakes occur.

If this person is in formal employment, they will likely contribute to the Employee Provident Fund until retirement. If they buy gold, it will likely be passed down for multiple generations. If they purchase a house, they will live in it for decades. Yet, when it comes to equity investing, data shows that many investors remain in the market for just two to three years before getting anxious and exiting.

The real answer to asset allocation is simple: put 90% in equities, but more importantly, stay the course for 10, 15, or even 20 years. Investing isn't about chasing quick gains or constantly reshuffling portfolios; it's about long-term wealth creation. **BT**

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